CASE STUDY / LEVY COMPRESSION

Assessment Up. Protest Denied. Taxes?

A case study showing why property taxes can fall after an assessment increase, and how levy compression changes the tax impact of a valuation notice.

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WHAT YOU'LL LEARN

A case study that becomes a practical framework

- Why taxes can fall after an assessment increase
- What levy compression actually does
- How to estimate the impact of your next notice
- Which question matters more than your new value

The practical question

Do not stop at the new value. Ask how the property moved compared with the rest of the tax base.

1. THE MYSTERY

A value went up. The protest was denied. The tax bill went down.

That sounds wrong at first. If the Board left the value unchanged, many homeowners would expect the tax bill to rise too.

This case shows why assessment change and tax change are related, but not identical.

WHAT HAPPENED IN 2025

July 21, 2025

Property owner appeared before the Board of Equalization.

Protest focused on a roughly $10,000 first-acre homesite increase.

Board left valuation unchanged.

THE PROTESTED VALUE CHANGE

2024 Value **$210,510**

2025 Value **$220,510**

Dollar increase: $10,000. Percent increase: 4.75%.

2. WHY IT SEEMS WRONG

The 2025 tax bill moved the other direction

Even though the Board left the valuation unchanged, the property's 2025 taxes did not increase. They decreased.

VALUE UP, TAXES DOWN

2024 NET TAXES
$1,463.40
$210,510 value

2025 NET TAXES
$1,410.22
$220,510 value

TAX CHANGE
-$53.18
about -3.6%

Many people assume a higher assessment automatically has to mean higher taxes. This property produced a different outcome: while its assessment was up 4.75%, the final tax bill moved the other direction, down about 3.6%.

3. THE MISSING RULE

Property taxes follow relative movement

The tax bill is not a direct translation of the valuation notice. The notice changes the starting point. The bill depends on what happened around that property too.

A higher assessment usually means a property is carrying a larger share of the tax base. But a share only matters in context.

1 PROPERTY MOVEMENT

How much did this property move?

+4.75%

The parcel's assessed value moved from $210,510 to $220,510.

2 COUNTY MOVEMENT

How much did everyone else move?

Countywide growth

When many properties increase together, the tax base expands.

3 BUDGET MOVEMENT

How much money did local governments need?

Budget growth

Budgets determine how much tax pressure must be collected.

4. WHAT LEVY COMPRESSION MEANS

The rate can fall when the base grows faster than the budget

FIXED PIE VS. GROWING PIE

Think of the tax levy as a pie. If the pie, meaning the budget, stays the same size but the table, meaning the tax base, gets much larger, each person's slice can get smaller.
When many properties rise together, the tax rate does not always need to rise with them. If the tax base grows faster than the budget, tax rates can compress downward.

CASE STUDY REVISITED

PROPERTY MOVEMENT

+4.75%

The assessment increased.

EFFECTIVE RATE

0.695% -> 0.640%

The net effective tax rate moved down.

TAX MOVEMENT

-$53.18

The tax bill decreased about 3.6%.

PART 2 - APPLY THE FRAMEWORK

Ready to apply this yourself?

Everything above explained one parcel. Everything below uses the same framework to evaluate a different notice.

If you have your own notice nearby, this is where the framework becomes useful.

Last year's discussion focused on a roughly $10,000 homesite increase. This year's increase is much larger and comes almost entirely from the dwelling.

THE NEXT VALUATION NOTICE

2025 Value **$220,510**

2026 Value **$285,015**

Dollar increase: $64,505. Percent increase: 29.25%.

WHERE THE INCREASE OCCURRED

LAND
$62,690 -> $62,690
No change

DWELLING
$146,455 -> $210,990
Major increase

OTHER IMPROVEMENTS
$11,365 -> $11,335
Slight decrease

7. APPLY THE FRAMEWORK

Estimate your tax impact

Start with your own numbers. The case-study values are loaded as starter values.

YOUR NUMBERS

LAST YEAR'S TAX BILL
Editable field - case-study starter
$1,410.22

LAST YEAR'S VALUE
Editable field - case-study starter
$220,510

THIS YEAR'S VALUE
Editable field - case-study starter
$285,015

2026 COUNTYWIDE VALUE GROWTH
Observed county input
9.57%

ESTIMATED BUDGET GROWTH
Planning assumption
3.00%

ESTIMATED TAXES
$1,713.45

ANNUAL CHANGE
+$303.23

MONTHLY EQUIVALENT
+$25.27

WHAT IF RATES NEVER CHANGED?

This is often the first calculation taxpayers make. If the 2025 net effective tax rate stayed the same, the 2026 value would produce a larger increase before any levy compression.

SAME-RATE TAXES **$1,822.75**	ANNUAL CHANGE **+$412.53**
MONTHLY EQUIVALENT **+$34.38**	

Baseline only - not the likely outcome.

WHAT USUALLY HAPPENS IN THE REAL WORLD?

Most properties moved too. The tax base expanded. If countywide value growth outpaces budget growth, levy rates often compress.

2025 NET ETR **0.640%**	BUDGET GROWTH **3.00%**
2026 COUNTYWIDE GROWTH **9.57%**	ESTIMATED ADJUSTED RATE **0.601%**

0.640% x (1.03 / 1.0957) = 0.601%

WHAT IS THE MOST LIKELY RANGE?

After the baseline is adjusted for county movement and budget movement, the likely outcome is much smaller than the value increase alone might suggest.

ESTIMATED RANGE
$250-$350
annually

CENTER ESTIMATE
About $300
annually

MONTHLY EQUIVALENT
$20-$30
about $25/month at center

Most taxpayers begin with a valuation notice. Most elected officials begin with a budget. The tax bill is produced somewhere in the middle.

HOW THE ESTIMATE WAS BUILT

STEP 1	STEP 2	STEP 3
Find current tax pressure.	Adjust for levy compression.	Apply the adjusted rate.
$1,410.22 / $220,510 = 0.640%	0.640% x (1.03 / 1.0957) = 0.601%	$285,015 x 0.601% = $1,713.45

This is not a precise tax bill prediction. It is a directional estimate based on historical levy behavior, countywide value growth, and reasonable budget assumptions.

8. THE BIGGER LESSON

The question that changes everything

USE THIS ON YOUR NEXT NOTICE

Most homeowners ask: What is my new value?

A better question is:

How did my property move compared with everyone else?

ONE FINAL THOUGHT

Accuracy compounds

Fairness begins with accurate and consistent treatment. Sometimes a property is measured incorrectly, classified incorrectly, or positioned differently than comparable properties. When that happens, a review process helps ensure that each property carries its appropriate share of the tax burden.

In this case, the protest focused on a $10,000 increase to the property's first-acre homesite value. Similar adjustments were applied broadly to comparable properties throughout the county based on market studies used to establish site values. Because many similar properties moved together, the adjustment had relatively little effect on the property's position within the larger tax base.

A protest or equalization review focuses on how a property compares with its peers. The tax bill that follows reflects something larger: how that property moved relative to other properties, how the overall tax base changed, and how much local governments decide to collect.

Sometimes a review results in an adjustment. Sometimes it confirms that a property was already positioned appropriately within the broader tax base. Both outcomes have value. One corrects the record. The other confirms it.

The valuation process helps determine where a property fits within the system. The tax bill reflects how that system moves as a whole. Both questions matter.

Sources: Gage County property record card for parcel 004817000, generated June 23, 2026; Nebraska Taxes Online tax-year records for parcel 0004817000; 2026 Gage County Report and Opinion (R&O).

Need to prepare for the hearing side of the process?

Read the companion guide: Before You Walk Into a Property Protest